

**TREPP CMBS SPECIAL
SERVICING REPORT**

Overall CMBS Special Servicing Rate Declined, Led by Office & Lodging Improvement

The Trepp commercial mortgage-backed securities (CMBS) special servicing overall rate declined 11 basis points in July to 11.09%, partially reversing the increases of recent months.

The improvement was led by office, the largest special servicing category, along with lodging, whose rates fell 53 and 26 basis points to 16.58% and 8.63%, respectively. Industrial also edged down three basis points to 1.34%.

That progress outweighed a sharp increase in retail, where a heavy wave of regional-mall loans transferred into special servicing for maturity default, lifting the retail rate 33 basis points to 13.28%. Multifamily rose 16 basis points to 8.39%, and mixed-use edged up two basis points to 11.93%.

New transfers to special servicing totaled roughly \$1.69 billion across 41 loans and were unusually concentrated in retail, which accounted for about \$903.6 million. The flow was dominated by regional malls reaching their balloon maturities. Loans that cured, were modified and returned, or paid off were far smaller in aggregate, at roughly \$326.4 million.

TABLE 1: SPECIAL SERVICING RATE BY PROPERTY TYPE (ALL VINTAGES)

PROP TYPE	Jul-26	Jun-26	May-26	3 MO.	6 MO.	12 MO.
Overall	11.09%	11.20%	10.86%	11.38%	10.91%	10.48%
Industrial	1.34%	1.37%	1.28%	1.23%	0.85%	0.60%
Lodging	8.63%	8.89%	8.45%	9.66%	9.37%	10.01%
Multifamily	8.39%	8.23%	8.51%	9.08%	8.14%	8.37%
Office	16.58%	17.11%	16.75%	17.66%	17.11%	16.21%
Mixed-Use	11.93%	11.90%	11.62%	12.21%	13.67%	12.21%
Retail	13.28%	12.95%	13.00%	12.99%	11.76%	11.66%

Source: Trepp

NEW TRANSFERS

The largest loan to transfer to special servicing in July was the \$280.0 million [CALI 2024-SUN](#) loan, which moved to special servicing for imminent balloon/maturity default. The loan reached its scheduled maturity on July 9 and now carries non-performing matured balloon status, with servicer commentary indicating the borrower is unable to meet the conditions for a maturity extension. The collateral is two full-service beachfront hotels in Santa Monica, CA.

For the most recent reporting period, the loan reported a debt service coverage ratio (DSCR) based on net cash flow (NCF) of 0.75x, leaving cash flow below the level needed to cover debt service even before the maturity default. The floating-rate loan makes up the entirety of the single-asset, single-borrower [CALI 2024-SUN](#) deal.

The largest retail transfer, and the second-largest transfer overall, was a portion of the \$262.0 million

[Mall at Rockingham Park](#) loan secured by a 540,867-square-foot superregional mall in Salem, NH. It transferred to special servicing for imminent balloon/maturity default; the \$162.0 million single-asset piece accounts for this month's transfer, with the remaining \$100.0 million held in two conduit pieces that were reported last month.

The loan reached that maturity without a payment default and carries performing matured balloon status, so the transfer reflects a maturity default rather than weak operations.

For full-year 2025 it reported a DSCR (NCF) of 1.53x with occupancy of 86%, and it was appraised at \$494.0 million at securitization in 2016. At last update, the borrower was pursuing a refinancing that has not been finalized.

Beyond these two, July's transfer activity was defined by a cluster of additional regional malls hitting their balloon maturities. Most of these loans were originated between 2011 and 2016 and are

reaching the end of their 10-year terms with limited refinancing options for lower-quality regional retail. That concentration is why the retail special servicing rate rose even as the overall rate declined.

LARGEST LOANS EXITING SPECIAL SERVICING

Loans leaving special servicing in July, through returns to the master servicer or payoffs, totaled approximately \$326.4 million across six loans, a much lighter month for resolutions than for transfers. The two largest exits were both retail loans that had reached maturity and were worked out rather than liquidated.

The largest exit was a portion of the [Williamsburg Premium Outlets](#) loan. Roughly \$99.5 million across two 2016 conduit deals returned to the master servicer in July as part of a corrected mortgage loan resolution that has now returned the full loan, a roughly \$183.8 million obligation, split across four 2016 conduit deals, to regular servicing. The loan

transferred in December 2025 for imminent balloon and maturity default, but remained current throughout its time in special servicing, and it was modified to a new maturity of February 2029. The collateral is a 522,133-square-foot outlet center in Williamsburg, VA, built in 1987 and renovated in 2005. For full-year 2025, the loan reported a DSCR (NCF) of 2.11x with occupancy of about 80%, roughly in line with 2024.

The second-largest exit was the \$98.3 million [Solano Mall](#) loan, which returned to the master servicer as a corrected mortgage loan after it transferred in December 2025 due to imminent monetary default. The loan remains actively cash-managed under a prior modification agreement and is scheduled to mature in October 2026. At this point, the borrower is expected to be contacted regarding payoff plans.

The collateral is a regional mall in Fairfield, CA, located between San Francisco and Sacramento, with roughly 561,015 square feet of owned collateral

within a larger center of about 1,046,123 square feet. The loan sits in the conduit deal [COMM 2012-CR3](#), which is in [CMBX 6](#).

The remaining exits were concentrated in office, the property type that drove the month's overall improvement. More broadly, the 53-basis-point decline in the office special servicing rate reflected resolutions, paydowns, and workout activity across the office book that outweighed the month's new office transfers.

With additional 2015 and 2016 vintage regional-mall loans scheduled to reach their balloon maturities over the coming months, retail is the most likely source of continued upward pressure on the special servicing rate, even as office and lodging stabilize.

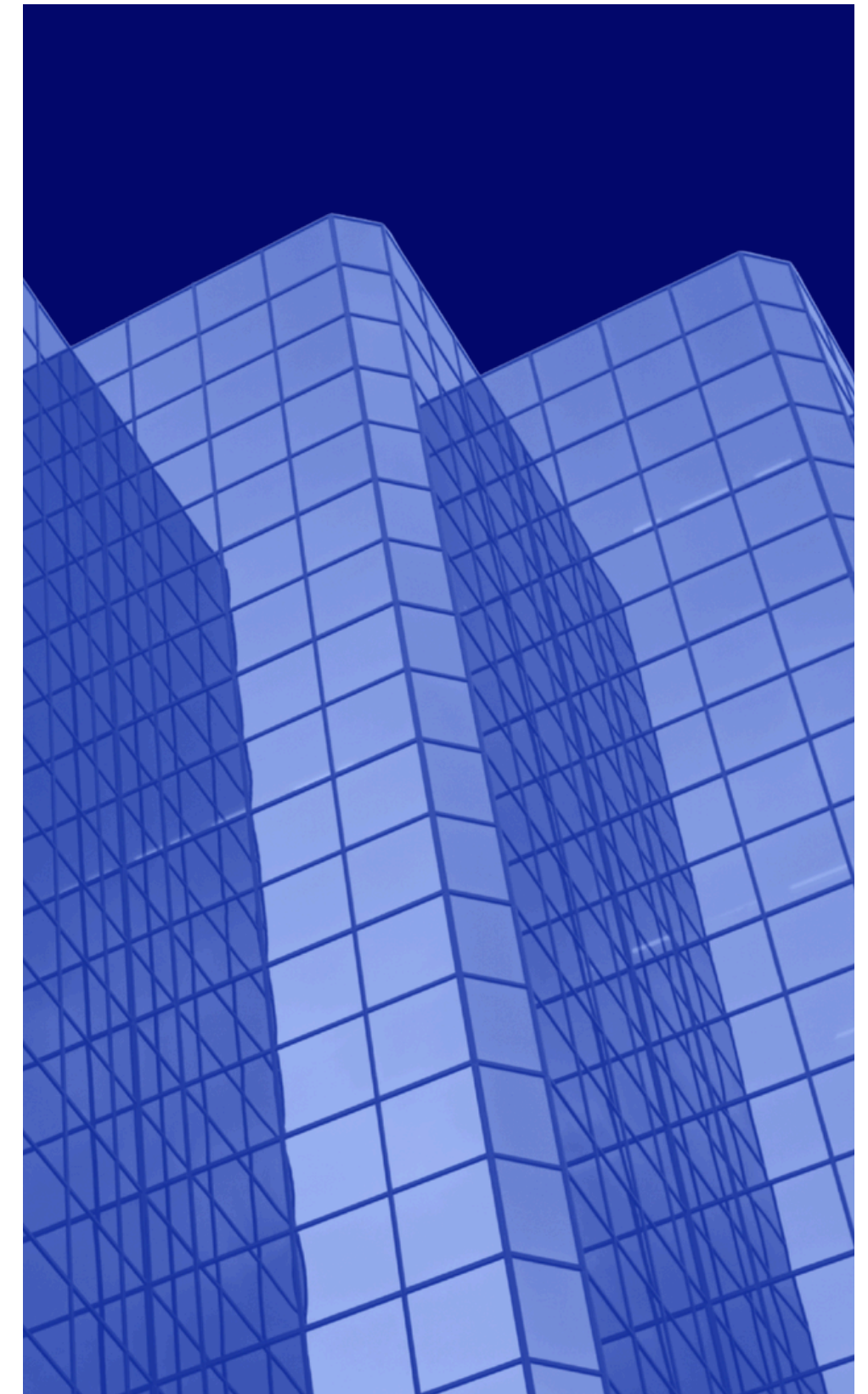
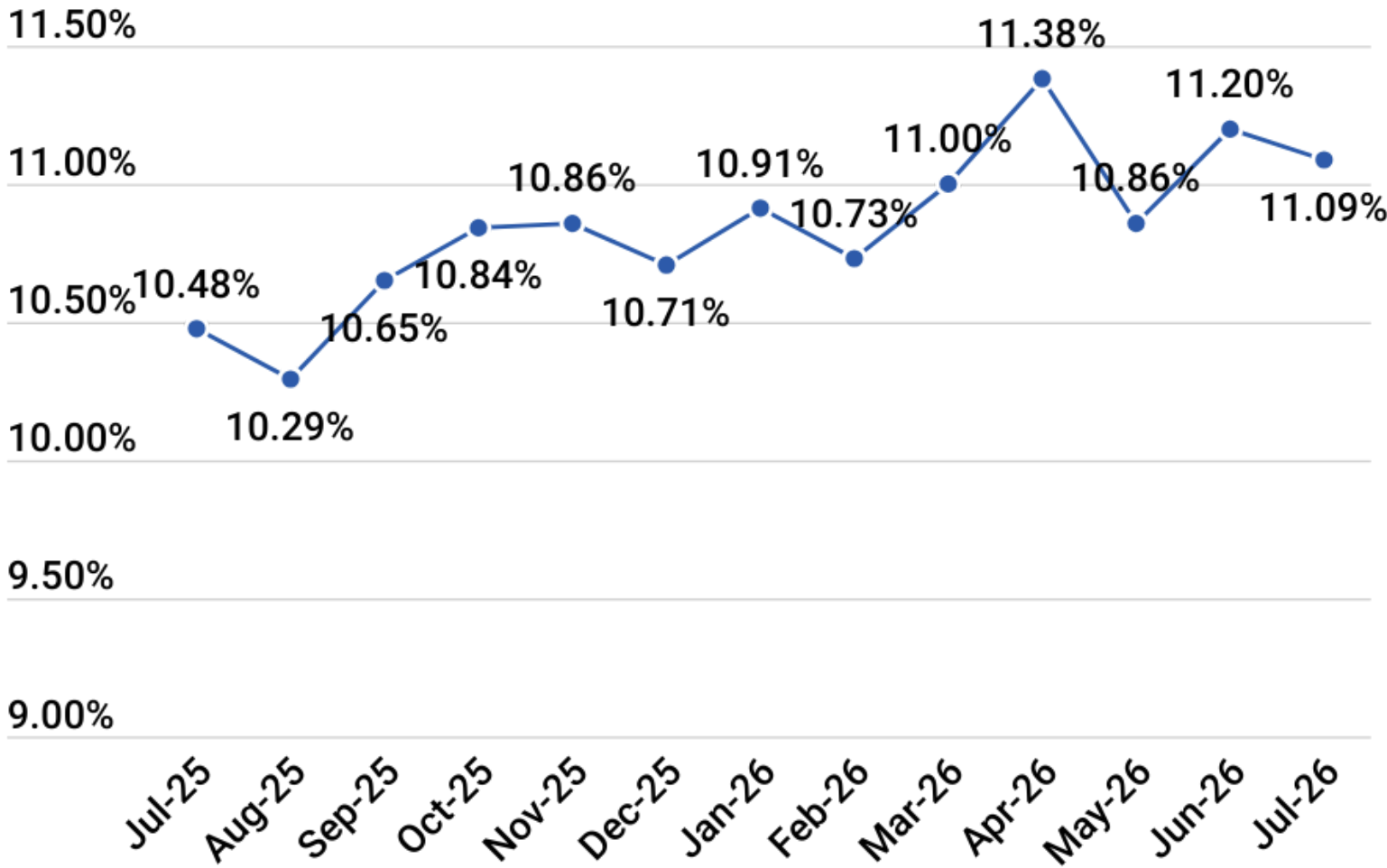
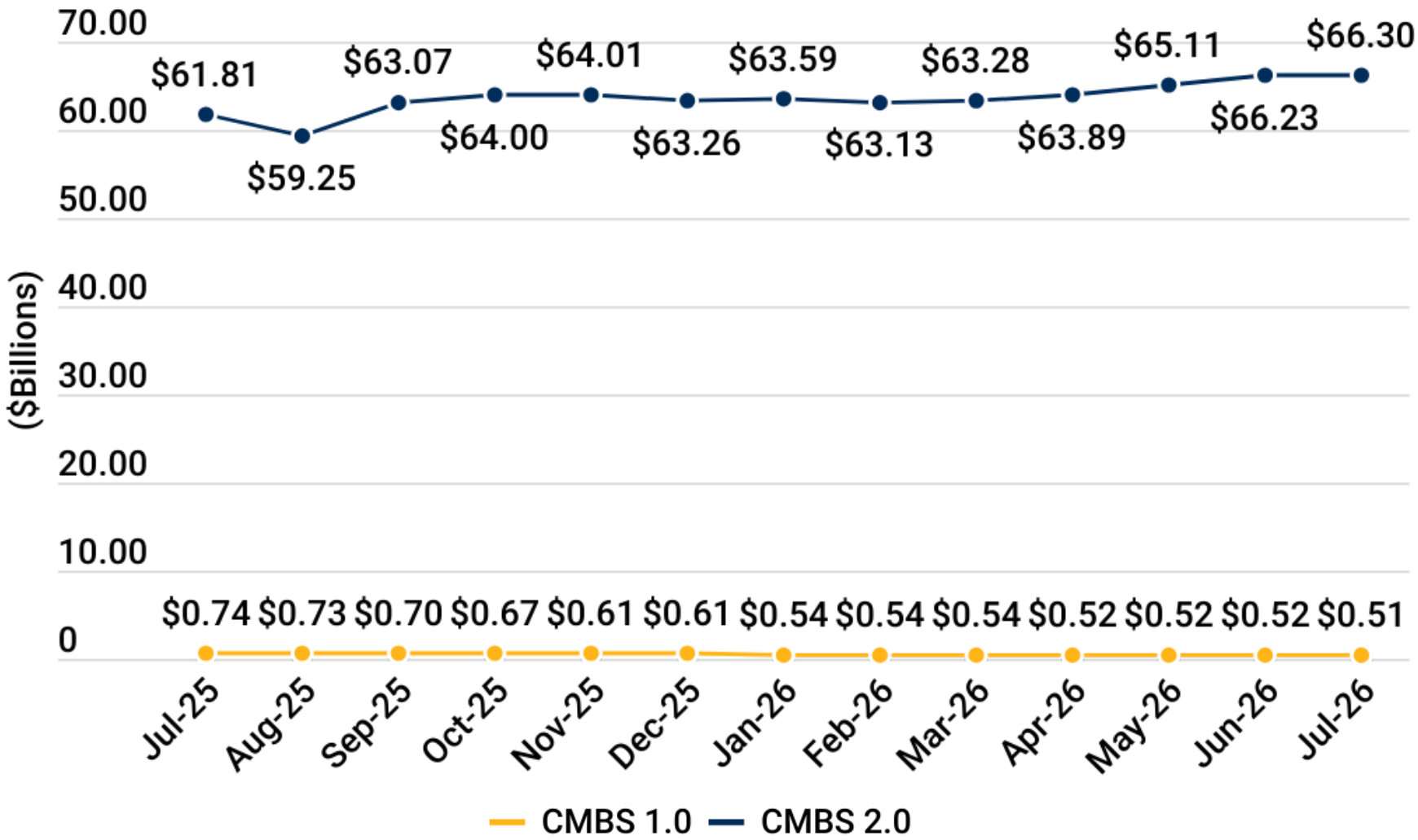


CHART 1: CMBS SPECIAL SERVICING RATE OVER THE LAST 12 MONTHS



Source: Trepp

CHART 2: BALANCE OF LOANS IN SPECIAL SERVICING OVER THE LAST 12 MONTHS



Source: Trepp

TABLE 2: SPECIAL SERVICING RATE BY PROPERTY TYPE CMBS 2.0+

PROP TYPE	Jul-26	Jun-26	May-26	3 MO.	6 MO.	12 MO.
Overall	11.02%	11.13%	10.79%	11.30%	10.84%	10.37%
Industrial	1.34%	1.37%	1.28%	1.23%	0.85%	0.60%
Lodging	8.63%	8.89%	8.45%	9.66%	9.37%	9.94%
Multifamily	8.40%	8.23%	8.51%	9.08%	8.14%	8.37%
Office	16.51%	17.04%	16.68%	17.59%	17.04%	16.09%
Mixed-Use	11.93%	11.90%	11.62%	12.21%	13.67%	12.20%
Retail	13.01%	12.68%	12.74%	12.72%	11.48%	11.36%

Source: Trepp

TABLE 3: SPECIAL SERVICING RATE BY PROPERTY TYPE CMBS 1.0

PROP TYPE	Jul-26	Jun-26	May-26	3 MO.	6 MO.	12 MO.
Overall	61.64%	62.10%	61.59%	61.29%	60.87%	66.36%
Industrial	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Lodging	0.00%	0.00%	0.00%	0.00%	0.00%	76.60%
Multifamily	0.00%	0.00%	0.00%	3.23%	2.93%	2.56%
Office	39.12%	41.17%	41.03%	40.88%	40.47%	49.00%
Retail	93.56%	93.38%	92.49%	92.33%	92.14%	91.49%

Source: Trepp

The CMBS 2.0+ Numbers

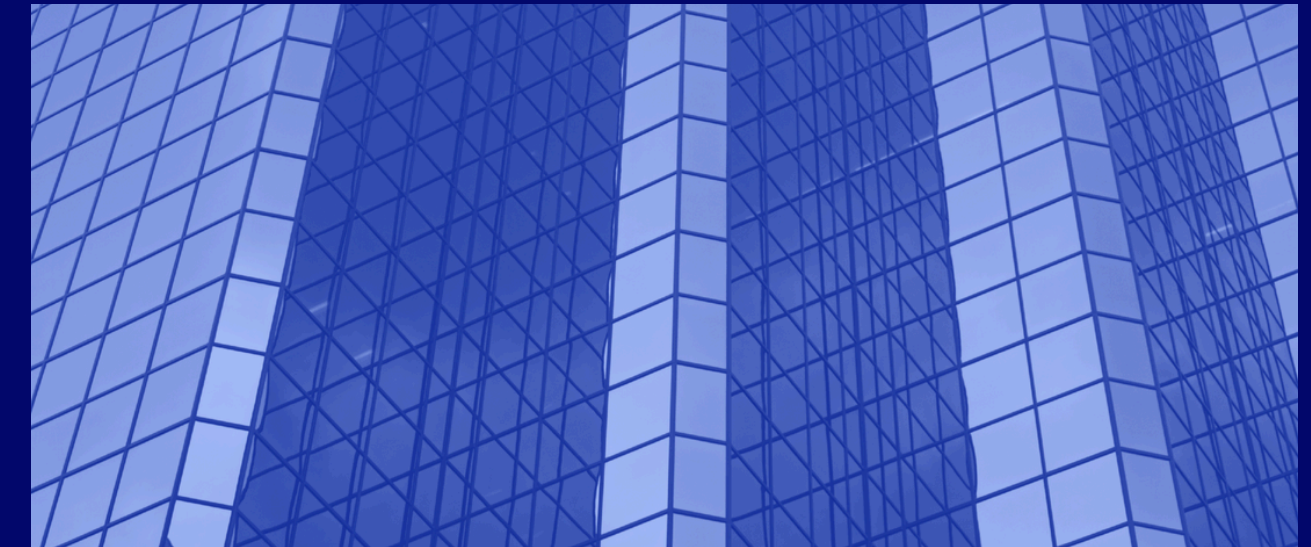
- The overall US CMBS 2.0+ special servicing rate is 11.02%.
- One year ago, the US CMBS 2.0+ special servicing rate was 10.37%.
- Six months ago, the US CMBS 2.0+ special servicing rate was 10.84%.

The CMBS 1.0 Numbers

- The overall US CMBS 1.0 special servicing rate is 61.64%.
- One year ago, the US CMBS 1.0 special servicing rate was 66.36%.
- Six months ago, the US CMBS 1.0 special servicing rate was 60.87%.

WHAT IS THE DIFFERENCE BETWEEN CMBS 1.0 AND CMBS 2.0+?

CMBS 1.0 refers to CMBS issued prior to the 2008 financial crisis, characterized by higher loan-to-value ratios and lower DSCRs. CMBS 2.0+ refers to the second generation of CMBS issued after the financial crisis, incorporating reforms to restore investor confidence. These include enhanced underwriting standards, increased disclosure requirements, improved loan servicing practices, and stronger risk retention rules in compliance with Dodd-Frank regulations.



About Trepp

Trepp, founded in 1979, is the leading provider of data, insights, and technology solutions to the structured finance, commercial real estate, and banking markets. Trepp provides primary and secondary market participants with the solutions and analytics they need to increase operational efficiencies, information transparency, and investment performance. From its offices in New York, Dallas, and London, Trepp serves its clients with products and services to support trading, research, risk management, surveillance, and portfolio management. Trepp subsidiary, Commercial Real Estate Direct, is a daily news source covering the commercial real estate capital markets. Trepp is wholly owned by DMGT. *{The information provided is based on information generally available to the public from sources believed to be reliable.}*

Trepp.com | 212.754.1010 | info@trepp.com

For inquiries about this research: press@trepp.com